

Getting Started Guide

TheHomeFlipping.com - First Flip Starter Kit

The Complete House Flipping Starter Guide

How to Get Started in House Flipping (Even With Zero Experience)

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Understanding House Flipping

What is House Flipping?

House flipping is the practice of purchasing a property, improving it, and selling it for a profit. The typical flip timeline is 3-6 months from purchase to sale.

The Two Main Strategies

1. Traditional Flip (Fix & Flip)

- Buy distressed property below market value
- Renovate to increase value
- Sell at full market price
- Typical profit: \$20,000 - \$80,000 per flip
- Requires: Capital, contractors, 3-6 months

2. Wholesale Flip (Assignment)

- Find distressed property
- Get it under contract
- Sell the contract to another investor
- Typical profit: \$5,000 - \$50,000 per deal

- Requires: Marketing, negotiation, 2-4 weeks

- **No money or credit needed**

Key Terms You Must Know

Term	Definition
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ARV	After Repair Value - what the home is worth fully renovated
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MAO	Maximum Allowable Offer - highest price you should pay
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Rehab	Renovation/repair work needed
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Comps	Comparable properties that recently sold
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Equity	The difference between value and what's owed
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Distressed	Property in poor condition or motivated seller
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Assignment	Selling your contract rights to another buyer
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The 70% Rule

Never pay more than 70% of ARV minus repairs.

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$$\text{MAO} = (\text{ARV} \times 0.70) - \text{Repair Costs}$$

Example:

$$\text{ARV} = \$200,000$$

$$\text{Repairs} = \$30,000$$

$$\text{MAO} = (\$200,000 \times 0.70) - \$30,000$$

$$\text{MAO} = \$140,000 - \$30,000$$

$$\text{MAO} = \$110,000 \text{ (Maximum you should offer)}$$

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Finding Properties Manually

Method 1: Driving for Dollars

The most effective free method for finding deals.

What to Look For:

- Overgrown lawns and landscaping
- Boarded windows or broken glass
- Peeling paint, damaged siding
- Mail/newspapers piling up
- Code violation notices
- "For Sale By Owner" signs

- Vacant properties

How to Do It:

- Choose a target neighborhood (older homes, 1950s-1980s)
- Drive every street systematically
- Note addresses of distressed properties
- Take photos for reference
- Use apps like DealMachine or BatchLeads to find owner info
- Send direct mail or call owners

Sample Script for Calling Owners:

"Hi, my name is [Your Name]. I'm a local real estate investor and I noticed your property at [Address]. I'm looking to buy homes in the area and was

wondering if you'd ever consider selling? I can close quickly and buy as-is, no repairs needed on your end."

Method 2: Zillow & Online Listings

Finding Motivated Sellers on Zillow:

- Search your target area
- Filter for:
 - "For Sale By Owner" (FSBO)
 - Price reductions (multiple drops = motivated)
 - Days on market 60+ days
 - "As-is" in description
 - Estate sales or inherited properties

- Look for keywords in descriptions:

- "Investor special"

- "Handyman special"

- "Needs work"

- "Sold as-is"

- "Estate sale"

- "Motivated seller"

- "Must sell"

- "Relocating"

Red Flags to Avoid:

- Properties with foundation issues (unless you're experienced)

- Flood zones without proper insurance

- Environmental contamination

- Title issues or liens

Method 3: Craigslist & Facebook Marketplace

Craigslist Strategy:

- Search "Real Estate - By Owner"
- Look for distressed property keywords
- Contact sellers directly
- Also post "We Buy Houses" ads

Facebook Marketplace:

- Search "house for sale" in your area
- Filter by price (look for underpriced)
- Join local real estate investor groups

- Network with other investors

Method 4: Direct Mail Campaigns

Target Lists to Mail:

- Absentee owners (don't live at property)
- Tax delinquent properties
- Pre-foreclosure lists
- Probate/inherited properties
- Divorce filings
- Code violations
- High equity homeowners

Where to Get Lists:

- PropStream (\$99/month)

- BatchLeads
- ListSource
- County tax records (free)

Sample Direct Mail Letter:

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Dear [Owner Name],

I noticed you own the property at [Address] and wanted

to reach out personally. I'm a local investor looking

to purchase homes in [City].

If you've ever thought about selling, I'd love to make

you a fair cash offer. I buy homes as-is, which means:

✓ No repairs needed

✓ No agent commissions

✓ Close in as little as 14 days

✓ I handle all paperwork

Even if you're not ready to sell today, I'd be happy

to chat about your options.

Call or text me anytime: [Your Phone]

Best regards,

[Your Name]

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Working with Cash Buyer Agencies

What Are Cash Buyer Agencies?

Companies like [New Western](#), [Opendoor](#), [Offerpad](#), and local wholesalers that buy properties for cash and resell to investors.

Top Cash Buyer Agencies

1. New Western Acquisitions

- Largest off-market property source for investors
- Properties typically 20-40% below market
- Requires proof of funds or cash
- Free to join as a buyer
- Website: newwestern.com

How to Join New Western:

- Visit newwestern.com
- Click "Buy Investment Properties"
- Complete investor application
- Provide proof of funds (bank statement, credit line, or hard money pre-approval)
- Get access to off-market inventory
- Attend property showings
- Submit offers through their platform

2. Auction.com

- Bank-owned (REO) properties
- Foreclosures

- Online bidding platform
- Requires earnest money deposit

3. Hubzu

- Bank-owned properties
- Online auction format
- Good for finding deals

4. Local Wholesalers

- Find them at local REIA meetings
- Join Facebook groups for investors
- Get on their buyer's lists
- They bring you deals, you pay assignment fee

Building Your Cash Buyer Network

Why You Need Cash Buyers:

- If you wholesale, they buy your contracts
- If you flip, they're backup exit strategy
- They can partner on deals

How to Find Cash Buyers:

- **County Records:** Look for LLC or trust purchases (cash buyers)
- **REIA Meetings:** Real Estate Investor Association meetings
- **Facebook Groups:** "[Your City] Real Estate Investors"
- **Craigslist:** Post "Investment Property Available"
- **Bandit Signs:** "Investor Special - Call [Number]"

Government Auction Properties

Types of Government Auctions

1. Tax Lien/Tax Deed Sales

- Properties with unpaid property taxes
- Held by county treasurer
- Can get properties for pennies on the dollar
- Research title carefully

2. HUD Homes ([HUDHomeStore.gov](https://www.hudhomestore.gov))

- Foreclosed FHA-insured properties
- Sold through licensed agents
- Investor bidding period after owner-occupant period

- Often sold as-is

3. Fannie Mae HomePath (HomePath.com)

- Foreclosed Fannie Mae properties
- Online offers through agents
- First-look period for owner-occupants
- Then open to investors

4. Freddie Mac HomeSteps

- Foreclosed Freddie Mac properties
- Similar process to HomePath

5. VA Foreclosures

- Veterans Affairs foreclosed properties
- Listed on VA website

- Sold through agents

6. Sheriff Sales/Foreclosure Auctions

- Court-ordered sales
- Held at county courthouse
- Requires cash or cashier's check
- No inspection before purchase (risky)

How to Find Government Auctions

County Tax Sales:

- Visit your county treasurer's website
- Look for "Tax Sale" or "Tax Lien Sale"
- Download the list of properties

- Research each property (title, condition, value)
- Register for the auction
- Bring required funds (cashier's check)

Federal Properties:

- HUDHomeStore.gov
- HomePath.com (Fannie Mae)
- HomeSteps.com (Freddie Mac)
- Auction.com
- RealtyTrac.com

Due Diligence for Auction Properties

Before You Bid:

- **Drive by the property** - Assess condition from outside
- **Check title** - Look for liens, back taxes, judgments
- **Research ARV** - Run comps on Zillow, Redfin
- **Estimate repairs** - Use our Rehab Cost Estimator
- **Calculate MAO** - Use the 70% rule
- **Verify occupancy** - Is someone living there?
- **Check for code violations** - Call city/county

Title Search Checklist:

- ☐ Property taxes current?
- ☐ Any IRS liens?
- ☐ HOA liens?
- ☐ Mechanic's liens?
- ☐ Judgments against owner?

- [] Mortgage balances?

How to Bid at Auctions

Preparation Checklist

Before Auction Day:

- [] Register with auction company
- [] Obtain bidder number
- [] Prepare funds (cashier's check, wire transfer info)
- [] Complete due diligence on target properties
- [] Set maximum bid amounts (DO NOT EXCEED)
- [] Bring ID and registration documents

Auction Day Strategy

1. Arrive Early

- Get familiar with the process
- Watch a few auctions before bidding
- Identify your competition

2. Set Your Maximum and STICK TO IT

- Auction fever is real
- Write your max bid on paper
- Walk away if exceeded

3. Bidding Tactics

- Start low, bid incrementally

- Don't show excitement
- Pause before counter-bidding
- Let others bid against each other first

4. Winning the Bid

- Sign purchase agreement immediately
- Pay deposit (typically 5-10%)
- Understand closing timeline (often 30 days)

Online Auction Tips

For Auction.com, Hubzu, etc.:

- Create account and verify identity
- Place initial deposit

- Set up auto-bid with your maximum
- Monitor auction in final hours
- Be ready for proxy bidding wars
- Understand buyer's premium (typically 5%)

Post-Auction Steps

After Winning:

- Wire remaining deposit within 24-48 hours
- Order title search immediately
- Schedule property inspection (if allowed)
- Arrange financing (hard money if needed)
- Close within required timeframe

- Take possession and begin rehab

Your First 90 Days Action Plan

Days 1-30: Foundation

Week 1: Education

- ☐ Read this entire guide
- ☐ Watch 10 YouTube videos on house flipping
- ☐ Join BiggerPockets.com (free)
- ☐ Join 3 local Facebook investor groups

Week 2: Market Research

- [] Choose your target market (city/neighborhood)
- [] Identify 3 target neighborhoods
- [] Research average home prices
- [] Understand what buyers want in your area

Week 3: Build Your Team

- [] Find a real estate agent who works with investors
- [] Get 3 contractor contacts
- [] Connect with a title company
- [] Find a real estate attorney (for contracts)

Week 4: Set Up Systems

- [] Create LLC (optional but recommended)
- [] Open business bank account
- [] Get business phone number (Google Voice = free)

- [] Create simple CRM (spreadsheet works)

- [] Design basic marketing materials

Days 31-60: Deal Finding

Week 5-6: Active Prospecting

- [] Drive for dollars 3x per week

- [] Send 100 direct mail pieces

- [] Make 20 calls to property owners

- [] Analyze 10 properties on Zillow

Week 7-8: Expand Reach

- [] Join New Western or similar

- [] Attend 1 REIA meeting

- [] Connect with 5 wholesalers

- [] Post "We Buy Houses" ads

Days 61-90: First Deal

Week 9-10: Make Offers

- [] Submit 10 offers on properties
- [] Follow up on all leads
- [] Negotiate with motivated sellers
- [] Get at least 1 property under contract

Week 11-12: Close or Assign

- [] Complete due diligence
- [] If wholesaling: Find cash buyer, assign contract
- [] If flipping: Close, begin renovation
- [] Document everything for next deal

Key Takeaways

- **Start with wholesaling** if you have no capital - it's the fastest way to make money in real estate with zero risk
- **The 70% rule is your protection** - never overpay for a property
- **Driving for dollars is free** and one of the most effective methods
- **Build relationships** with cash buyers, agents, and contractors before you need them
- **Government auctions** can offer incredible deals but require careful due diligence
- **Take action** - analysis paralysis kills more flipping careers than bad deals

Resources

Websites:

- BiggerPockets.com - Free education and forums
- Zillow.com - Property research
- Redfin.com - Accurate comps
- PropStream.com - Lead generation
- HUDHomeStore.gov - Government properties

Apps:

- DealMachine - Driving for dollars
- BatchLeads - Skip tracing
- Zillow - Property research

- DocuSign - Digital contracts

Books:

- "The Book on Flipping Houses" by J Scott
- "The Millionaire Real Estate Investor" by Gary Keller

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